

CLOSING DOCUMENTS

On table funded transactions, originators must have closing documents prepared by Flagstar's Closing Department, except for participants in the Accelerated Broker Closing Program which are required to generate documents using Flagstar's Web Based Closing Documents (WBCD). On correspondent transactions, originators are responsible for preparing closing documents but have the option to use WBCD.

Closing instructions given to the closing/settlement agent should include any "at closing" conditions on the commitment letter. If you are utilizing WBCD, these "at closing" conditions will automatically be part of the WBCD closing instructions. The closing/settlement may be completed any time prior to the expiration of both the underwriting approval (commitment letter) and the lock period. This means all documents must be signed and funds disbursed prior to the earliest of the above mentioned expiration dates.

Loans should utilize Mortgage Electronic Registration Systems (MERS) and close on a MERS as Original Mortgagee (MOM) document. The Mortgage/Deed of Trust must have the MERS language included and MIN shown on the first page. The MIN should be located on the upper-right hand corner of the note.

DATES/FHA PAYOFF

- Closing Date: Date that the documents are signed by the borrower.
- Disbursement Date: Date that the funds are released by the settlement agent.
- Date Funds Needed: Date that the closing/settlement agent would like the funds to be at their office.
- FHA Payoff Loans: Indicate whether the funds being issued will pay off an existing FHA loan to avoid interest penalties.

The closing, disbursement and date funds needed may all be the same date, or may be a different dates depending on the type of loan and each state's specific practices.

SIGNATURE REQUIREMENTS

Closing documents **may** be signed and/or notarized **per grid below**.

<i>Borrower Signing Date requirements (all states)</i>			
Earliest closing date must be on or after expiration of 3 day TRID waiting period			
Program	Before Date on Docs	On Date on Docs	After Date on Docs
Conventional			
Fannie Refinance	Allowed	Allowed	Allowed
Fannie Purchase	Allowed	Allowed	Allowed
Freddie Refinance	Not Allowed	Allowed	Allowed
Freddie Purchase	Not Allowed	Allowed	Allowed
FHA			
Refinance	Allowed	Allowed	Allowed
Purchase	Allowed	Allowed	Allowed
VA			
Refinance	Allowed	Allowed	Allowed
Purchase	Allowed	Allowed	Allowed
MSHDA/Bond			
Purchase	Allowed	Allowed	Allowed



Settlement/Closing Requirements

Construction			
Purchase	Not Allowed	Allowed	Not allowed
Refinance (reno)	Not Allowed	Allowed	Not allowed
USDA			
Purchase	Allowed	Allowed	Allowed
Refinance	Allowed	Allowed	Allowed

NOTARY POLICY

- Notaries may not be associated with the broker or correspondent. Ineligible notaries include but are not limited to the following:
 - Any employee of the broker/correspondent, including but not limited to loan advisors, processors, etc. (When closing loans in-house, banks and credit unions only may use an employee to perform notary services)
 - Any family member of one of the principal owners
 - Anyone who receives funds, other than the notary fee, upon loan closing
- Loans that close with an unacceptable notary will not be funded/purchased by Flagstar Bank.

FINAL CLOSING DISCLOSURE

If signature lines are present on the Pre-Close or Consummation Closing Disclosure, Flagstar will require the document to be executed.

1003

A printed copy of the final Uniform Residential Loan Application (1003) must be included with the closed loan package. This document must be signed by all borrowers at closing and returned in the closed loan package. If one is not included with the package, please contact the closer/loan originator immediately.

POWER OF ATTORNEY

If closing by power of attorney (POA), the specific conditions section of these closing instructions must indicate that prior approval was obtained and approved by Flagstar. The title policy must not make any exceptions based upon the use of the POA. The following POA signature format is required:

John P. Doe by Mary C. Doe, Attorney In Fact

John P. Doe by Mary C. Doe, Attorney In Fact

Under Agreement Dated MM/DD/YYYY

Enclose a copy of the POA document in the closed loan package.

CLOSING IN A TRUST

Refer to the Closing in Trust section of the [Conventional Underwriting Guidelines](#) for details and restrictions associated with loans closing in a trust.

CO-OWNER

We will allow other individuals to sign just the mortgage or deed of trust and title, LE/CD and right of rescission but no other documents when their income and credit are not used to qualify. We will allow a co-signer to sign just the note and all other documents other than the mortgage and title when their income and credit are being used to qualify. To illustrate:



Settlement/Closing Requirements

Signer	Mortgage/Title	Note	LE/CD	Right of Rescission
Co-signer		X	X	X
Co-owner	X		X	X

At a minimum, any individual whose income and credit are being used to qualify is required to sign the note, Loan Estimate, Closing Disclosure, and Right of Rescission.

SPOUSAL PROPERTY RIGHTS (NON-PURCHASING SPOUSE)

When a married applicant qualifies for a mortgage based on his or her own financial capacity without any assets or income of his or her spouse being taken into consideration, the spouse does not need to sign the mortgage or deed of trust note. However, we require the spouse to sign the security instrument or any other documentation required to evidence that the spouse is relinquishing all rights to the property, if the spouse's signature is necessary, under the applicable state law, to waive any marital property right he or she has by virtue of being the applicant's spouse.

NOTE ENDORSEMENTS

Provide an endorsed, certified true copy of the original note in the closing package and be sure to type Flagstar's loan number on the top upper left-hand corner of the original note.

It's imperative that all notes are endorsed properly. The original note must be endorsed as follows:

Pay to the order of:

Flagstar Bank, N.A.
Without recourse
ABC Company

By: _____
Signature
Name: _____
Typed or Legibly Written
Title: _____
Typed or Legibly Written

An allonge is acceptable in lieu of an endorsement, only when the following requirements have been met:

- The form and content of the allonge must comply with all applicable state, local, or federal law governing the use of allonges and result in an enforceable and proper endorsement to the note.
- The allonge must be permanently affixed to the related note
- The allonge must clearly identify the note by referencing at least the name of the borrower(s), the date of the note, the amount of the note, and the address of the security property.

NOTE CORRECTIONS AFTER CLOSING

There are certain situations where errors on a note may be corrected subsequent to closing. Follow these guidelines to determine if a note correction is acceptable. Flagstar will not allow for corrections that would alter the financial integrity of the loan (including cases where any piece of the NMLS information is missing):

Settlement/Closing Requirements

UNACCEPTABLE CORRECTIONS

Flagstar will not allow for corrections, amendments or the re-drawing of a new note for any change to the loan terms that would alter the financial integrity of the loan, including cases where any piece of the NMLS information (including both LA and company NMLS information) is missing. If a discrepancy is found according to these criteria, the loan will be ineligible for purchase. As such, correspondent loans will be returned and table funded loans will be required to be repurchased.

ACCEPTABLE CORRECTIONS

Flagstar will only allow for corrections that are made for minor address and/or borrower name discrepancies.

- Flagstar will not release the Note in our possession containing the discrepancy until we have received a corrected document. Any corrections that are made must be on a new original Note, including initials and signatures, and cannot be completed on a copy or previously signed Note. Therefore, the customer will need to provide their own new original note in part or in whole for corrections.
- Handwritten changes acknowledged by the borrower(s) must have wet initials/signatures.

CLOSING PROTECTION LETTER (CPL)

BROKER/TABLE FUNDED

A transaction-specific CPL is required on all loans. The borrower name, loan number, and address of the property must be indicated. The CPL should be issued from an eligible title underwriter on behalf of the eligible closing agent to whom the funds will be wired.

CORRESPONDENT

- Flagstar warehouse line: A transaction-specific CPL is required on all loans.
- Non-Flagstar warehouse line: Cannot use an "Ineligible" settlement agent. Use our [Settlement Agent search](#) to verify settlement agent status.

See *Settlement Agent, Escrow & Attorney Setup*, [Doc. #3676](#) for state-specific guidelines and additional details regarding CPLs.

INSURANCE CLAUSES

HAZARD (HOMEOWNER'S AND FLOOD) INSURANCE MORTGAGEE CLAUSE

The hazard insurance clause will vary based on business channel. Refer to *Hazard Insurance Requirements*, [Doc. #4602](#) for details. Refer to *Flood Insurance*, [Doc. #4603](#) and for the flood clause.

TITLE INSURANCE MORTGAGEE CLAUSE

The clause will vary based on loan type and method in which the assignment takes place. See *Title Insurance Policy Requirements*, [Doc. #4606](#) for details.

FUNDING/DISBURSEMENT FIGURES:

On table funded loans, a funding breakdown detailing the net disbursement wired to the settlement agent is available at tpo.flagstar.com.



Settlement/Closing Requirements

RESCISSION

Refinance loans must have a Right of Rescission (Right to Cancel). Regulation Z requires 3 full business days be given to the borrower to rescind (cancel the transaction) between the closing/signing date and the date of disbursement. For rescission purposes, Sundays and legal holidays are not considered “business days.” Refer to *Right of Rescission*, [Doc. #4622](#) in the Seller’s Guide for further details.

WIRE INSTRUCTIONS FOR CANCELED/RETURNED LOANS (BROKER)

Instructions for returning funds for broker loans that have canceled are:

ABA/Routing Number	272471852
Bank Name	Flagstar Bank, N.A.
Address	5151 Corporate Drive
City	Troy
State	MI
Zip	48098
Credit to	Return Wires
Credit Account Number	1015500100090
Attention	Funding Department
Regarding	Reference Flagstar’s loan number, borrower’s name and reason for the return

WIRE INSTRUCTIONS FOR RETURNING FLAGSTAR WAREHOUSE FUNDS (CORRESPONDENT)

Instructions for returning funds for correspondent loans that have canceled are:

ABA/Routing Number	272471852
Bank Name	Flagstar Bank, N.A.
Address	5151 Corporate Drive
City	Troy
State	MI
Zip	48098
Credit to	Correspondent Lender Name
Credit Account Number	Specific to each Correspondent Lender
Attention	Ian Wilson
Regarding	Correspondent loan number, name, and reason for the return